CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED 31 MARCH 2019

	6 Months to 31 March 2019 Sh '000	6 Months to 31 March 2018 Sh '000	12 Months to 30-Sep-2018 Sh '000
Revenue	5,897,212	5,071,865	10,079,734
Cost of sales	(5,028,455)	(4,311,823)	(8,513,513)
Other costs	(105,051)	(548)	(1,035)
Gross profit	763,706	759,494	1,565,186
Other income	58,243	19,520	89,531
Gain in fair value of investment properties	-	-	339,513
Selling and distribution costs	(267,627)	(268,864)	(523,127)
Administrative expenses	(314,062)	(225,786)	(735,015)
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	240,260	284,364	736,088
Depreciation and amortisation	(39,345)	(28,432)	(65,737)
Operating profit	200,915	255,932	670,351
Impairment losses on financial assets	(4,324)	-	-
Finance costs	(222,333)	(167,987)	(353,182)
Net foreign exchange gains	3,073	11,587	4,361
Share of profit in an associate	75,061	10,109	28,504
Share of (loss)/profit in joint venture	(5,320)	(7,893)	7,777
Profit before taxation	47,072	101,748	357,811
Taxation credit/(charge)	4,216	(45,334)	(132,095)
Profit for the period	51,288	56,414	225,716
Other comprehensive income:			
Revaluation surplus on property, net of deferred tax	-	-	70,902
Exchange differences arising on translation of foreign operations	(6,446)	(16,928)	(26,397)
	(6,446)	(16,928)	44,505
Total comprehensive income for the period	44,842	39,486	270,221
Profit/(loss) for the period attributable to:			
Owners of the parent	51,675	56,689	214,530
Non-controlling interests	(387)	(275)	11,186
Profit for the period	51,288	56,414	225,716
Total comprehensive income attributable to:			
Owners of the parent	45,229	39,761	259,035
Non-controlling interests	(387)	(275)	11,186
Total comprehensive income for the period	44,842	39,486	270,221
	Sh	Sh	Sh
Earnings per share - basic and diluted	1.29	1.41	5.35

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2019

	At 31-Mar-2019 Sh '000	At 31-Mar-2018 Sh '000	At 30-Sep-2018 Sh '000
ASSETS			
Non-current assets			
Investment properties	3,222,985	2,776,329	3,115,525
Property, plant and equipment	1,530,449	1,364,587	1,507,052
Intangible assets	24,868	14,841	27,307
Investment in an associate	128,994	37,543	55,938
Investment in joint venture	305,504	295,154	310,824
Deferred tax asset	208,040	82,735	127,615
	5,420,840	4,571,189	5,144,261
Current assets			
Inventories	3,294,724	2,448,829	3,070,281
Trade and other receivables	1,600,942	1,595,623	1,696,754
Due from an associate	10,053	36,182	40,220
Corporate tax recoverable	73,440	62,836	46,034
Cash and bank balances	249,889	227,769	175,957
	5,229,048	4,371,239	5,029,246
Total assets	10,649,888	8,942,428	10,173,507
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	200,516	200,516	200,516
Revaluation surplus	703,314	642,957	709,379
Retained earnings	2,370,567	2,386,215	2,548,536
Exchange translation reserve/(deficit)	(68,645)	(52,730)	(62,199)
Equity attributable to owners of the parent	3,205,752	3,176,958	3,396,232
Non-controlling interests	207,347	196,273	207,734
Total equity	3,413,099	3,373,231	3,603,966
Non-current liabilities			
Deferred tax liabilities	890,243	776,885	904,759
Due to related parties	159,205	-	159,205
Borrowings	450,678	451,953	427,015
	1,500,126	1,228,838	1,490,979
Current liabilities			
Borrowings	3,899,111	2,283,337	3,003,756
Trade and other payables	1,558,248	1,863,580	1,821,191
Due to a joint venture	261,707	193,304	247,713
Corporate tax payable	17,597	138	5,902
	5,736,663	4,340,359	5,078,562
Total equity and liabilities	10,649,888	8,942,428	10,173,507

N Ng'ang'a
Director

V V Gidoomal
Director

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31 MARCH 2019

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Exchange translation reserve (deficit) Shs'000	Attributable to owners of the parent Shs'000	Non-controlling interests Shs'000	Total Shs'000
6 Months to 31 March 2018							
At 1 October 2017	200,516	647,412	2,349,133	(35,802)	3,161,259	196,548	3,357,807
Profit for the period	-	-	56,689	-	56,689	(275)	56,414
Exchange difference arising on translation of foreign operations ***	-	-	-	(16,928)	(16,928)	-	(16,928)
Total comprehensive income for the period	-	-	56,689	(16,928)	39,761	(275)	39,486
Transfer of excess depreciation	-	(5,838)	5,838	-	-	-	-
Deferred tax on excess depreciation transfer	-	1,383	(1,383)	-	-	-	-
Dividend paid - 2017	-	-	(24,062)	-	(24,062)	-	(24,062)
At 31 March 2018	200,516	642,957	2,386,215	(52,730)	3,176,958	196,273	3,373,231
6 Months to 31 March 2019							
At 1 October 2018	200,516	709,379	2,548,536	(62,199)	3,396,232	207,734	3,603,966
Day 1 transition adjustment - impairment losses under IFRS 9 on financial assets	-	-	(288,030)	-	(288,030)	-	(288,030)
Deferred tax on impairment losses	-	-	86,409	-	86,409	-	86,409
Share of associate's adoption of IFRS 9	-	-	(2,005)	-	(2,005)		(2,005)
Profit for the period	-	-	51,675	-	51,675	(387)	51,288
Exchange difference arising on translation of foreign operations ***	-	-	-	(6,446)	(6,446)	-	(6,446)
Total comprehensive income for the period	-	-	51,675	(6,446)	45,229	(387)	44,842
Transfer of excess depreciation	-	(7,604)	7,604	-	-	-	-
Deferred tax on excess depreciation transfer	-	1,539	(1,539)	-	-	-	-
Dividend paid - 2018	-	-	(32,083)	-	(32,083)	-	(32,083)
At 31 March 2019	200,516	703,314	2,370,567	(68,645)	3,205,752	207,347	3,413,099

***Exchange difference on translation of foreign operations arise as a result of reserves opening balances of subsidiaries outside Kenya.

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE SIX MONTHS ENDED 31 MARCH 2019

	Note	6 Months to 31 March 2019 Sh '000	6 Months to 31 March 2018 Sh '000	12 Months to 30 Sep-2018 Sh '000
Cash flows from operating activities				
Net cash (used in)/generated from operations		(411,137)	1,020,898	555,145
Corporate tax paid		(18,208)	(5,630)	(16,513)
Net cash (used in)/generated from operating activities		(429,345)	1,015,268	538,632
Cash flows from investing activities				
Additions to investment properties		(105,996)	-	(1,873)
Purchase of property, plant and equipment		(72,060)	(7,970)	(97,197)
Purchase of intangible assets		(166)	(235)	(10,331)
Investment in an associate company		-	(619)	(619)
Investment in joint venture		-	(80,605)	(80,605)
Proceeds on disposal of property, plant and equipment		567	1,161	1,441
Net cash used in investing activities		(177,655)	(88,268)	(189,184)
Cash flows from financing activities				
Loans received	2(ii)	5,710,130	2,791,975	6,482,838
Loans repaid	2(ii)	(4,769,330)	(3,578,124)	(6,658,020)
Dividend paid		(32,083)	(24,062)	(24,062)
Interest paid		(222,333)	(167,987)	(353,182)
Hire - purchase finance	2(ii)	(869)	-	8,770
Net cash generated from/(used) in financing activities		685,515	(978,198)	(543,656)
Net increase/(decrease) in cash and cash equivalents		78,515	(51,198)	(194,208)
Cash and cash equivalents at the beginning of the period		61,817	258,353	258,353
Effects of exchange rate changes on the balance of cash held in foreign operations		(813)	(1,609)	(2,328)
Cash and cash equivalents at the end of the period	2(iii)	139,519	205,546	61,817

NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2019

1 Basis of preparation

The accounting policies and methods of computations followed in the preparation of these interim financial statements are the same as those used in the annual financial statements as at and for the year ended 30 September 2018 except for the revaluation of investment property that is carried out at year end on 30 September and IFRS 9 Financial instruments. The company has applied the simplified approach to recognise lifetime expected credit losses for its trade receivables as permitted by IFRS 9.

2 NOTES TO THE CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

	6 Months to 31 March 2019 Sh '000	6 Months to 31 March 2018 Sh '000	Year to 30-Sep-2018 Sh '000
(i) Reconciliation of profit before taxation to net cash generated from/(used in) operations			
Profit before taxation	47,072	101,748	357,811
Adjustments for:			
Depreciation on property, plant and equipment	37,049	26,775	61,844
Intangible assets amortisation	2,296	1,657	3,893
Fair value gains on investment properties	-	-	(339,513)
Charges in fair value on debt instruments	(288,030)	-	-
Loss/(gain) on disposal of property and equipment	(168)	(341)	13
Interest expense	222,333	167,987	353,182
Exchange translation (opening)	2,608	9,617	10,094
Exchange rate adjustment on borrowings	(17,143)	(43,274)	(59,447)
Share of profit from associate	(75,061)	(10,109)	(28,504)
Share of (profit)/loss from joint venture	5,320	7,893	(7,777)
Movements in working capital items;			
Inventories	(224,443)	450,011	(171,441)
Trade and other receivables	95,812	(142,653)	(243,753)
Associate company	30,167	-	(25,161)
Joint venture	13,994	(88,467)	208,109
Trade and other payables	(262,943)	540,054	435,795
Net cash (used in)/generated from operations	(411,137)	1,020,898	555,145
(ii) Analysis of changes in borrowings:			
At the beginning of the period	3,316,631	3,542,490	3,542,490
Loans received	5,710,130	2,791,975	6,482,838
Repayments	(4,769,330)	(3,578,124)	(6,658,020)
Hire purchase facility	(869)	-	8,770
Exchange rate adjustments	(17,143)	(43,274)	(59,447)
At the end of the period	4,239,419	2,713,067	3,316,631

NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2019 (continued)

NOTES TO THE CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS (continued)

(iii) Cash and cash equivalents:

For the purposes of the statement of cash flows, cash and cash equivalents at period end comprise the following:

	At 31 March 2019 Sh '000	At 31 March 2018 Sh '000	At 30-Sep 2018 Sh '000
Cash and bank balances	249,889	227,769	175,957
Bank overdrafts	(110,370)	(22,223)	(114,140)
	139,519	205,546	61,817

3 SEGMENTAL INFORMATION

The segment information provided to the group board of directors for reportable segments is as follows:

(i) Revenue and earnings

	Trade and workshop sh '000	Investment properties sh '000	Poultry sh '000	Joint venture and associate sh '000	ICT Training & Talent Development sh '000	Group sh '000
31 March 2019						
Revenue	5,741,296	29,907	125,656	-	353	5,897,212
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	183,835	23,945	42,569	-	(10,089)	240,260
Segment operating profit/(loss) before joint venture and associate	148,813	23,945	39,480	-	(11,323)	200,915
Segment profit/(loss) before taxation	(37,295)	(11,921)	37,872	69,741	(11,325)	47,072
31 March 2018						
Revenue	5,000,180	29,710	41,975	-	-	5,071,865
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	278,192	27,825	(21,653)	-	-	284,364
Segment operating profit/(loss) before joint venture and associate	252,491	27,825	(24,384)	-	-	255,932
Segment profit/(loss) before taxation	140,018	(4,343)	(36,143)	2,216		101,748
30 September 2018						
Revenue	9,837,266	98,857	143,611	-	-	10,079,734
Gain in fair value of investment properties	-	339,513	-	-	-	339,513
Earnings before interest, taxes, depreciation and amortisation (EBITDA)	293,488	427,840	14,760	-	-	736,088
Segment operating profit/(loss) before joint venture and associate	232,341	427,840	10,170	-	-	670,351
Segment profit/(loss) before taxation	(44,164)	362,215	3,479	36,281	-	357,811

Revenue reported above represents revenue generated from external customers.

NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2019 (continued)

SEGMENTAL INFORMATION (continued)

(ii) *Segment assets and liabilities*

	Trade and workshop sh '000	Investment properties sh '000	Poultry sh '000	ICT Training & Talent Development sh '000	Group sh '000
31 March 2019					
Assets	6,988,708	3,239,287	396,021	25,872	10,649,888
Liabilities	6,534,890	573,540	128,359	-	7,236,789
31 March 2018					
Assets	5,850,561	2,779,589	312,278	-	8,942,428
Liabilities	4,845,694	564,274	159,229	-	5,569,197
30 September 2018					
Assets	6,641,900	3,128,838	402,769	-	10,173,507
Liabilities	5,922,010	487,430	160,101	-	6,569,541

(iii) Other segment information

31 March 2019					
Cost of sales	4,954,428	-	74,027	-	5,028,455
Expenses - selling and administrative	541,392	5,962	22,659	11,676	581,689
Taxation charge/(credit)	(15,144)	(3,576)	11,147	3,357	(4,216)
Interest expenses	186,467	35,866	-	-	222,333
Depreciation/amortisation	35,020	-	3,089	1,236	39,345
Capital expenditure	60,497	105,996	8,966	2,763	178,222
31 March 2018					
Cost of sales	4,261,152	-	50,671	-	4,311,823
Expenses - selling and administrative	476,927	1,885	15,838	-	494,650
Taxation charge/(credit)	44,031	1,303	-	-	45,334
Interest expenses	135,819	32,168	-	-	167,987
Depreciation/amortisation	25,701	-	2,731	-	28,432
Capital expenditure	7,321	-	884	-	8,205
30 September 2018					
Cost of sales	8,443,508	-	70,005	-	8,513,513
Expenses - selling and administrative	1,170,151	10,530	77,461	-	1,258,142
Taxation charge/(credit)	25,399	108,665	(1,969)	-	132,095
Interest expenses	285,824	65,625	1,733	-	353,182
Depreciation/amortisation	61,147	-	4,590	-	65,737
Capital expenditure	102,248	1,873	5,280	-	109,401

NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2019 (continued)

SEGMENTAL INFORMATION (continued)

(iv) *Geographical information*

The group's revenues are derived from sales in the following markets:

	6 Months to 31 March 2019 Sh '000	6 Months to 31 March 2018 Sh '000	12 Months to 30 Sep-2018 Sh '000
Kenya	3,725,611	3,531,863	6,935,569
Uganda	340,710	275,537	537,100
Tanzania - (Trade and workshop)	1,696,680	1,191,995	2,561,604
Tanzania - (Poultry)	125,656	41,975	-
Rwanda	8,555	30,495	45,461
	5,897,212	5,071,865	10,079,734

The group's total assets and liabilities are located in the following countries:

Non-current assets (excluding deferred tax assets)	6 Months to 31 March 2019 Sh '000	6 Months to 31 March 2018 Sh '000	12 Months to 30 Sep-2018 Sh '000
Kenya	4,333,700	3,649,340	4,145,188
Uganda	91,092	89,298	92,034
Tanzania	782,486	744,709	773,622
South Sudan	5,311	4,815	5,552
Rwanda	211	292	250
	5,212,800	4,488,454	5,016,646

Total assets	6 Months to 31 March 2019 Sh '000	6 Months to 31 March 2018 Sh '000	12 Months to 30 Sep-2018 Sh '000
Kenya	8,216,908	6,834,258	7,885,711
Uganda	492,284	496,493	462,939
Tanzania	1,880,047	1,561,901	1,776,997
South Sudan	5,795	5,578	6,187
Rwanda	54,854	44,198	41,673
	10,649,888	8,942,428	10,173,507

NOTES TO THE INTERIM FINANCIAL STATEMENTS
FOR THE SIX MONTHS PERIOD ENDED 31 MARCH 2019 (continued)

(iv) SEGMENTAL INFORMATION (continued)

Total liabilities	**6 Months to 31 March 2019 Sh '000**	**6 Months to 31 March 2018 Sh '000**	**12 Months to 30 Sep-2018 Sh '000**
Kenya	5,793,935	4,412,237	5,193,639
Uganda	230,061	178,467	189,245
Tanzania	1,209,269	974,368	1,183,214
Rwanda	3,524	4,125	3,443
	7,236,789	5,569,197	6,569,541